

Palantir Technologies Inc.

PLTR NYSE

Hold	\$176.37 ▲ 2.53%	12M Price Target \$185.00	52-Week Range \$106.37 – \$207.52	Market Cap \$423.83B
------	------------------	------------------------------	--------------------------------------	-------------------------

PLTR: AI Darling Rides Defense Boom, But Valuation Screams

WHAT HAPPENED

- PLTR is up another 2.5% to \$176 after a monster week — the stock ripped from \$156 to \$172 on Friday (that's +10% in a day) and is following through today. This looks like classic post-earnings momentum: they reported last week and the AI/defense narrative is red hot, plus Middle East tensions are quietly pushing defense-linked names higher.
- Options flow is interesting — put/call ratio is basically balanced at 1.04, BUT the unusual activity is mostly deep-in-the-money calls (someone loading up on \$117-118 strikes), which usually signals a big player positioning for continued upside, not hedging.

WHY IT MATTERS

Here's the thing to internalize: PLTR just added ~\$40B in market cap in a week and is now a \$424B company — bigger than Lockheed Martin. That's not a small-cap "story stock" anymore, it's a mega-cap that the market is treating like the default AI/defense pick. The move probably means institutions are being forced to own it (career risk of NOT owning the winner), which creates a self-reinforcing bid — but it also means when it breaks, it breaks hard because everyone's on the same side of the boat. The insider selling (three directors dumping shares in the last 30 days) is worth noting — they're not panicking, but they're clearly taking chips off the table into strength, which is what YOU should probably be doing too if you've ridden this up.

POLICY & POLITICAL WATCH

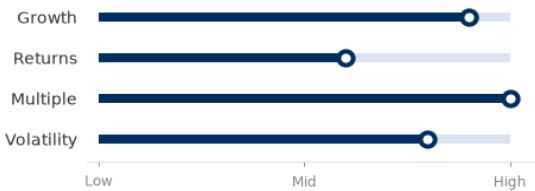
The big tailwind: the Trump administration's AI executive orders and the ongoing FY2027 defense budget negotiations continue to favor Palantir directly — they're the prime software vendor for the Army's TITAN program and are embedded in ICE, CBP, and DoD workflows that this administration is actively expanding. Watch for the defense appropriations bill markup this fall — if it clears with the expected AI/software carve-outs intact, PLTR's government revenue line (already growing 50%+) gets another leg up. The risk on the other side: bipartisan noise about AI regulation and data privacy (especially around ICE surveillance contracts) could create headline risk, though nothing in Congress right now has real teeth.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$176.37
12M Price Target	\$185.00
Upside / (Downside)	+4.9%
Market Cap	\$423.83B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,500M
FY2026E EPS	\$0.58
FY2027E EPS	\$0.78
Fwd P/E	304.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$195.00	\$178.00	\$155.00
6 Months	\$230.00	\$185.00	\$140.00
1 Year	\$260.00	\$190.00	\$120.00
2 Years	\$320.00	\$220.00	\$100.00
5 Years	\$500.00	\$300.00	\$90.00
10 Years	\$900.00	\$450.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.8% today) on Middle East tension — geopolitical risk is bidding up oil and defense-adjacent names. Tech is up 5.4% over the past week as the AI trade re-accelerates post-earnings.

COOLING OFF: Materials and Industrials are flat-to-down today — cyclical are taking a back seat as money concentrates in AI and defense narratives.

ROTATION WATCH: Money is rotating INTO the AI/defense intersection (PLTR, ANDURIL-adjacent names, defense primes) and OUT of broader cyclical. The CPI print this week is the next catalyst — a soft number keeps the AI trade going.

RELATED PLAY: If you want PLTR exposure without paying 100x sales, look at the defense primes benefiting from the same budget (LMT, RTX) or the picks-and-shovels AI infra names (data center power, cooling).

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI kingpin — every dollar of PLTR's AIP deployment ultimately pulls through Nvidia GPUs.
- AVAV (AeroVironment): Defense tech tailwinds from the same budget cycle helping PLTR.

PLTR CONTEXT: PLTR is LEADING its peer group hard — up ~65% YTD versus the broader software index up maybe 15%. That's both bullish (momentum begets momentum) and a warning sign (leaders eventually mean-revert). At 69% of its 52-week range with a \$207 high still in sight, there's room to run, but the risk/reward is getting worse the higher it goes.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business, I don't love the price. Great company ≠ great stock at any price.

POSITION SIZE: 2-3% max. This is a stock where the daily moves can be 5-10%, so sizing it small keeps you sane and lets you add on dips without panicking.

ENTRY POINTS: I'd wait for a pullback to \$150-160 (that's a ~10-15% drop, which happens roughly every quarter in this name). Chasing at \$176 after a 10% rip is how retail gets shaken out.

TIME HORIZON: 12-24 months, with the FY2027 defense budget and continued AIP commercial wins as the key catalysts.

WHEN TO BAIL: If commercial revenue growth drops below 30% YoY, or if the stock breaks below \$140 on high volume (that would signal the momentum trade is over), I'm trimming aggressively.

HEDGING: Simplest hedge — sell covered calls against your position at \$200+ strikes. You collect income, and if the stock rips through, you're still selling at a great price. Alternatively, just trim 25% of your position every time it hits a new all-time high — mechanical discipline beats emotional decisions.